The complete guide to ICT trading concepts and strategies

ICT (Inner Circle Trader), created by Michael J. Huddleston, is a comprehensive trading methodology Liquidity Provider **built on the premise that financial markets are algorithmically driven by institutional order flow — and that retail traders can profit by reading the "footprints" of smart money.** Liquidity Provider The methodology spans dozens of interlocking concepts covering market structure, liquidity engineering, time-based execution, and complete trade models. Below is every major ICT concept organized into logical categories, from foundational theory through precision entry techniques, with practical application for each.

Foundational philosophy: smart money and algorithmic price delivery

Smart Money Concepts (SMC)

The overarching ICT philosophy holds that **institutional capital — banks, hedge funds, central banks — controls market movements** through predictable patterns. Retail traders place stops at obvious levels (below support, above resistance), creating exploitable liquidity pools. Smart money systematically engineers price to trigger these clustered orders, Liquidity Provider using the opposing liquidity to fill their own large positions with minimal slippage. Gist.ly TrendSpider ICT teaches traders to recognize these institutional "footprints" — order blocks, fair value gaps, displacement, and liquidity sweeps — and trade alongside smart money rather than becoming its fuel. Writo-Finance

IPDA (Interbank Price Delivery Algorithm)

ICT teaches that price is not random but delivered by an **Interbank Price Delivery Algorithm** that governs how markets seek liquidity and rebalance imbalances. The IPDA operates on **20, 40, and 60 trading day lookback periods**, referencing the highs and lows of each segment as critical liquidity targets. ICT Trading The algorithm's core functions are targeting liquidity pools (sweeping highs and lows), rebalancing imbalances (filling fair value gaps), and manipulating via stop hunts. Price delivery follows session-based phases: Asia builds accumulation, London delivers manipulation, and New York distributes the real move. Smart Money ICT Quarterly shifts every 90–120 days tend to initiate significant directional changes. ICT Trading The IPDA data ranges help traders determine whether price is in a premium or discount zone relative to its recent history, establishing daily and weekly bias. Inner Circle Trader

Premium and Discount Arrays (PD Arrays)

The PD Array framework divides any price range at its **50% equilibrium level** into a premium zone (above) and a discount zone (below). TradingFinder Writo-Finance Smart money tends to sell in premium Equiti and buy in discount. Inner Circle Trader All ICT tools — order blocks, fair value gaps, breaker blocks, mitigation blocks — are organized within this framework as either bullish PD arrays (found in discount, used for buys) or bearish PD arrays (found in premium, used for sells). The PD Array tells traders WHERE to look for trades, while market structure analysis tells them WHEN. In practice, traders draw Fibonacci from a swing low to swing high, identify which zone price currently occupies, and only take longs in discount or shorts in premium. Inner Circle Trader TradingFinder

Equilibrium

Equilibrium is the **50% midpoint** of any defined range — whether a dealing range, FVG, order block, or gap. It is the dividing line between premium and discount. Price frequently reacts at equilibrium levels, making them high-probability reference points. TradingFinder When applied to FVGs, the equilibrium is called Consequent Encroachment; when applied to order blocks, it is called the Mean Threshold. Both represent the same concept: the 50% level where institutional algorithms most commonly react.

Market structure concepts

Break of Structure, Change of Character, and Market Structure Shift

ICT's market structure framework identifies three critical signals through the sequence of swing highs and swing lows:

Break of Structure (BOS) Trade The Pool occurs when price breaks a previous swing high (in an uptrend) or swing low (in a downtrend), confirming **trend continuation**. Forex Factory LuxAlgo BOS is the bread-and-butter signal that the existing trend remains intact and that traders should continue looking for pullback entries in the trend direction.

Change of Character (CHoCH) occurs when price breaks against the prevailing trend — breaking below a previous higher low in an uptrend or above a previous lower high in a downtrend. CHoCH is an **early warning of potential trend reversal** Trade The Pool and signals traders to stop taking continuation trades.

Market Structure Shift (MSS) is the most actionable reversal signal. It requires a decisive break of a significant swing point **accompanied by displacement** — a strong impulse move that deeply penetrates the level. TradingFinder FXOpen MSS is confirmed when the break creates fair value gaps and is preceded by a liquidity sweep. It is the primary trigger for entering reversal trades. TradingView A bullish MSS in a downtrend (price sweeps sell-side liquidity, then breaks above the most recent lower high with displacement) signals a potential shift to bullish structure.

In practice, traders use higher timeframes (daily, 4H) to determine overall direction via BOS patterns, then drop to lower timeframes (5M, 1M) to find MSS for precision entry timing. Inner Circle Trader

ICT Dealing Range

The dealing range is the price zone between a significant swing high and swing low where institutional activity occurs. Writo-Finance TradingFinder It serves as the "playing field" for analysis. The range divides at equilibrium (50%) into premium and discount zones. TradingFinder Within the range, **Internal Range Liquidity (IRL)** consists of FVGs, order blocks, and equal highs/lows. **External Range Liquidity (ERL)** sits at the range boundaries themselves. TradingFinder Price oscillates from ERL to IRL to ERL, constantly seeking liquidity and rebalancing. Multi-timeframe dealing ranges nest inside each other — the higher-timeframe range provides context while the lower-timeframe range provides entry opportunities.

Price action building blocks

Fair Value Gaps (FVG)

A Fair Value Gap is a three-candle pattern where price moved so aggressively that the wicks of the first and third candles do not overlap, leaving a visible gap behind the middle candle. Fluxcharts +2 A **bullish FVG** forms when the low of the third candle sits above the high of the first candle during an upward move Fluxcharts — the gap acts as a support zone when price retraces. A **bearish FVG** forms when the high of the third candle sits below the low of the first candle during a downward move Fluxcharts — the gap acts as resistance. Howtotrade Equiti ICT also uses the terms **BISI** (Buy-Side Imbalance, Sell-Side Inefficiency) for bullish FVGs and **SIBI** (Sell-Side Imbalance, Buy-Side Inefficiency) for bearish FVGs. Inner Circle Trader FVGs are the primary entry vehicle in modern ICT methodology — after a BOS or MSS, traders wait for price to retrace into the FVG before entering in the direction of the move. Higher-timeframe FVGs carry significantly more weight. Equiti

Inverse Fair Value Gaps (IFVG)

When a previously valid FVG is **traded through and invalidated**, it becomes an Inverse Fair Value Gap — the zone flips its role. TradeZella Inner Circle Trader A bearish FVG broken to the upside becomes a bullish IFVG and acts as support. A bullish FVG broken to the downside becomes a bearish IFVG and acts as resistance. FXOpen IFVGs signal initial shifts in momentum Inner Circle Trader and are most reliable when found in the correct PD array zone (discount for bullish, premium for bearish). The Consequent Encroachment (50% level) of the IFVG is the most reactive point within the zone.

Balanced Price Range (BPR)

A Balanced Price Range forms when **two opposing Fair Value Gaps overlap** Trade The Pool — a bullish FVG and a bearish FVG occupying the same price zone. Inner Circle Trader This occurs when an aggressive move in one direction is immediately followed by an equally aggressive move in the opposite direction. TradingRage The overlapping area represents temporary equilibrium FXOpen and acts as a magnet for price, which often chops within the BPR before eventually breaking out. Trade The Pool In bullish structure, a BPR in the discount zone provides buy entries; in bearish structure, a BPR in the premium zone provides sell entries. Writo-Finance When combined with order block confluence, BPRs create very high-probability entry zones.

Order Blocks (OB)

An Order Block is the **last candle of the opposing direction before a strong impulsive move**. A bullish OB is the last bearish (down-close) candle before a strong upward move TradeZella Howtotrade — its range defines a support zone on retests. A bearish OB is the last bullish (up-close) candle before a strong downward move — it defines a resistance zone. Inner Circle Trader TradingRage Validation requires the OB to sweep prior liquidity, create an imbalance/FVG afterward, cause a structure break, and remain untouched until price returns. TradeZella High-probability order blocks form at well-defined pivot points (swing highs and lows) and create new structural extremes. theicttrader The ICT Trader Price must move away from the OB with displacement to confirm its validity. OBs are most effective during London and New York Kill Zones.

Breaker Blocks

A Breaker Block forms when a **high-probability order block fails**. The ICT Trader When an OB that created a new swing extreme is later broken through, it flips its role — support becomes resistance, resistance becomes support. theicttrader A bearish breaker forms when a bullish OB fails and gets broken to the downside; it then acts as resistance on retests. Howtotrade Fluxcharts Breaker blocks are considered **higher probability**

TradingView **than mitigation blocks** theicttrader because they involve a liquidity sweep before the reversal — the OB first pushed price to create a new high/low (sweeping liquidity), then failed and reversed. If a breaker block overlaps with a fair value gap, it creates the **ICT Unicorn** — the highest-confidence setup in the methodology. Luxalgo TradingFinder If a breaker block itself fails, it reverts to a "Reclaimed Order Block," resuming its original role. The ICT Trader theicttrader

Mitigation Blocks

A Mitigation Block is a failed order block that **never created a new structural extreme** before reversing. Howtotrade In a bullish trend, price reaches an institutional level but forms a lower high instead of a higher high, then declines and breaks the previous higher low. The zone where this failure occurred is the mitigation block. Howtotrade The critical distinction from breakers is that **no liquidity was swept** before the reversal — price simply failed to continue and reversed. Howtotrade This makes mitigation blocks lower probability, but they still provide valid entry zones in trending markets Howtotrade when confirmed by higher-timeframe PD arrays.

Propulsion Blocks

A Propulsion Block is a **single candle that trades into an existing order block and subsequently drives price away with significant momentum**. The Forex Geek It is essentially a refined order block nested within a larger order block, confirming the original zone's validity. The Mean Threshold (50% of the propulsion candle's range) is the key level — a valid propulsion block will not allow price to penetrate beyond this midpoint. Inner Circle Trader Propulsion blocks offer the tightest stop-losses and highest risk-reward ratios in ICT methodology because the entry zone is extremely refined.

Rejection Blocks

Rejection Blocks are **long wicks formed at significant swing highs or lows after a liquidity sweep**. Inner Circle Trader At a swing high, long upper wicks represent aggressive selling after a BSL sweep — the wick area defines a bearish rejection block. At a swing low, long lower wicks represent aggressive buying after an SSL sweep. Rejection blocks function similarly to order blocks but at deeper retracement levels (80–90% of the range versus 50–70% for standard OBs), offering superior risk-reward because entry sits closer to the extreme. Inner Circle Trader They represent the last line of defense before a move continues.

Displacement

Displacement is the **institutional signature** — a sudden, powerful price movement characterized by three or more consecutive candles in the same direction with large bodies, minimal wicks, and no hesitation. Howtotrade Displacement creates Fair Value Gaps TrendSpider (the critical connection), breaks structural levels, and confirms whether a BOS or MSS is genuine. Without displacement, a structure break may be a false signal. The Simple ICT ICT's core reversal pattern follows this sequence: liquidity sweep → displacement in the opposite direction → entry on FVG/OB retracement. The Simple ICT Displacement is most potent during London and New York Kill Zones. Howtotrade

Institutional Candle

An Institutional Candle (also called Institutional Funding Candle) is a **large-range candlestick indicating significant institutional participation**. These candles display large bodies, minimal wicks, and strong directional movement. They frequently break structural levels and create FVGs. Writo-Finance The midpoint (50%) of an institutional candle serves as a re-entry or reversal level. Smart Money ICT Consecutive candles in the same direction can be viewed as a single higher-timeframe institutional candle. The ICT Trader Institutional candles ARE the displacement candles — the terms describe the same phenomenon from different angles.

Volume Imbalance

A Volume Imbalance is a gap between the **bodies (open/close) of two consecutive candles** where there is no body overlap. TradeZella OpoFinance Unlike FVGs (three-candle wick patterns), volume imbalances are two-candle body patterns — the wicks may overlap, but the bodies must be separated. They represent micro-level inefficiencies caused by sudden institutional order flow and function as fine-grained support/resistance zones. Volume imbalances serve as precision entry refinements within broader setups.

Liquidity Voids

A Liquidity Void is a larger-scale imbalance — essentially **multiple consecutive FVGs forming a substantial zone** devoid of two-sided trading. They appear when price breaks a consolidation phase and moves aggressively in one direction with large candles and no retracements. Inner Circle Trader The 50% level of a liquidity void (Consequent Encroachment) is the most reactive level within the void. Inner Circle Trader There is no guarantee a void will fill — price may create new voids and continue. When voids do fill, partial fills are common. Inner Circle Trader

Consequent Encroachment (CE)

Consequent Encroachment is the **50% midpoint of any imbalance** — FVG, IFVG, order block, breaker block, liquidity void, NWOG, or NDOG. Smart Money ICT It is the precision tool that refines entries within any ICT structure. Rather than entering at the edge of an FVG (risking a missed entry) or waiting for full mitigation (which may never come), CE provides the optimal compromise. Inner Circle Trader When price reaches the CE of a bullish FVG and holds above it, the gap is being respected. TradeZella CE is most reliable on H1 or higher timeframes Forex Factory and must always be used with confluence — daily bias, PD array positioning, and liquidity targets.

Liquidity concepts

Buy-Side and Sell-Side Liquidity (BSL/SSL)

Buy-Side Liquidity (BSL) is the concentration of buy-stop orders above swing highs, equal highs, session highs, and resistance levels — where short sellers place stop-losses and breakout traders place pending buy orders. Writo-Finance **Sell-Side Liquidity (SSL)** sits below swing lows, equal lows, session lows, and support levels — where long traders place stop-losses and breakdown traders place pending sell orders. Writo-Finance +3 Institutions drive price toward these pools to trigger the clustered orders, using the opposing liquidity to fill their own large positions. Writo-Finance Price moves from one liquidity pool to the next in a concept called **Draw on Liquidity (DOL)**. TradingFinder Equal highs and equal lows are particularly strong liquidity magnets because multiple traders cluster stops at identical levels. Forex Factory

Liquidity Sweeps and Stop Hunts

A liquidity sweep occurs when price is **deliberately pushed beyond a key level to trigger clustered stop-loss and pending orders**. Forex Factory FXOpen The sweep appears as a wick or brief price spike past a swing high or swing low, followed by a quick reversal. After sweeping liquidity, institutions have filled their positions and no longer need to maintain the false move. TradingFinder The practical trading application is straightforward: wait for price to sweep a clear liquidity level (double top, previous day high/low, equal highs/lows), then drop to a lower timeframe and look for MSS, displacement, and FVG formation as entry confirmation. Smart Money ICT Stop-loss goes beyond the sweep wick; target is the opposite liquidity pool.

Inducement

Inducement refers to **short-term deceptive price movements designed by market makers to lure retail traders into placing orders at the wrong level** before the real move begins. TradingFinder TradingView These are minor liquidity grabs at intermediate swing points that create the illusion of a breakout or reversal but are merely traps. Inducement often precedes the Judas Swing or a larger liquidity sweep. Recognizing inducement helps traders avoid premature entries.

SMT Divergence (Smart Money Tool)

SMT Divergence occurs when **two positively correlated assets diverge** — one makes a new high or low while the other does not. For example, if ES makes a new high but NQ fails to do so, TradeZella or EUR/USD makes a new low but GBP/USD does not, this signals potential institutional reversal. Studocu SMT Divergence is a powerful confirmation tool used at the Smart Money Reversal point within Market Maker Models. TradingView

---

Time-based strategies and session analysis

Kill Zones

Kill Zones are specific **2–3 hour windows within major trading sessions** when institutional activity and volatility peak, creating the highest-probability setups: Profitview

- **Asian Kill Zone (7:00–10:00 PM EST):** Low volatility and range-building. Sets the initial range for the day. Best for AUD, NZD, and JPY pairs. Inner Circle Trader OTE patterns offer 15–20 pip scalps. Inner Circle Trader
- **London Kill Zone (2:00–5:00 AM EST):** The highest probability of a large directional move within 24 hours. Inner Circle Trader Often sets the high or low of the day. Howtotrade Sweeps Asian session highs/lows. Best for EUR, GBP, CHF pairs with **30+ pip** directional trades. Inner Circle Trader
- **New York Kill Zone (7:00–10:00 AM EST for forex; 8:30–11:00 AM for indices):** TradingRage Maximum volatility during London overlap. Exploits stops around London session extremes. Major economic data releases occur here.
- **London Close Kill Zone (10:00 AM–12:00 PM EST):** Late reversals and quick scalps as desks square positions. 10–20 pip opportunities.

Kill Zones eliminate approximately **80% of low-probability trading hours**. Phidias Propfirm Note that daylight saving time transitions create 2–3 week periods where overlap times shift, as the US and UK change clocks on different dates. Howtotrade

ICT Macros

ICT Macros are **20-minute algorithmic windows** within major sessions where institutional algorithms execute specific instructions — seeking liquidity, repricing FVGs, or rebalancing price:

Macro Window (EST)	Session	Notes
2:33–3:00 AM	London 1	Early London liquidity seeking
4:03–4:30 AM	London 2	Second London macro
8:50–9:10 AM	NY AM 1	Pre-market open
9:50–10:10 AM	NY AM 2	**"Golden window"** — highest probability for indices
10:50–11:10 AM	NY AM 3	Targets remaining liquidity
11:50–12:10 PM	NY Lunch	Useful if earlier macros haven't cleared liquidity
1:10–1:40 PM	NY PM	Afternoon positioning
3:15–3:45 PM	NY Close	End-of-day macro

To trade macros, mark imbalances and draw-on-liquidity levels on a 15M chart before the window opens. Determine direction based on which liquidity has already been taken. Inner Circle Trader During the window on 1M–5M charts, wait for displacement, BOS, or MSS, then enter on the pullback to the FVG. Macros classify into three types: accumulation (range-bound), manipulation (false breakout before reversal), and expansion (one-sided trend continuation). TradingView Macros add confluence to other ICT models rather than functioning as standalone strategies. TradingFinder

Silver Bullet Strategy

The Silver Bullet is a **time-based scalping strategy exploiting FVGs within three specific one-hour windows**: TradingFinder Luxalgo

- **London Silver Bullet: 3:00–4:00 AM EST** Writo-Finance
- **New York AM Silver Bullet: 10:00–11:00 AM EST** Writo-Finance (considered highest probability)
- **New York PM Silver Bullet: 2:00–3:00 PM EST** Writo-Finance

The mechanics follow a precise sequence: establish higher-timeframe bias on a 15M chart, mark BSL and SSL levels, then during the one-hour window on 1M–5M charts, wait for price to sweep a liquidity level. Writo-Finance Luxalgo After the sweep, watch for an MSS in the opposite direction and identify the first FVG that forms behind the displacement. When price retraces to the FVG, enter. TradingFinder Stop-loss sits beyond the FVG-forming candle's extreme. Targets are typically **20–30 pips** on major forex pairs, aiming for the opposing liquidity zone. TradingFinder Luxalgo Best instruments include NQ futures, ES futures, EUR/USD, GBP/USD, and XAU/USD, TradingFinder with reported backtested win rates of **60–75%** under strict rules. Ultima Markets

True Day Open and Asian Range

ICT considers **midnight New York time (00:00 EST)** the True Day Open — the algorithmic start of the trading day. The midnight open price acts as a critical reference level: on bullish days, price tends to trade above it; on bearish days, below. TradingView The **8:30 AM EST** open (economic data release time) serves as a secondary True Open for intraday execution.

The **Asian Range** is the price range from 7:00 PM to 12:00 AM EST. Medium It represents the accumulation phase of the daily cycle and establishes the initial range for the day. Forex Factory +3 The Asian Range high and low become BSL and SSL targets for London and New York sessions. Inner Circle Trader A tight Asian Range signals an impending significant move. OpoFinance The standard play is to wait for the London session to sweep one side of the Asian Range (the Judas Swing), confirm MSS after the sweep, then enter in the real direction with a target at the opposite end of the range and beyond. EBC Financial Group

Central Bank Dealers Range (CBDR)

The CBDR is the price range from **2:00 PM to 8:00 PM EST** — the consolidation period when central banks and major dealers establish positions. Inner Circle Trader The range height should ideally be **less than 40 pips** (preferably 20–30 pips) for reliable projections. Inner Circle Trader Standard deviation levels (±1, ±2, ±2.5, ±3, ±4) are projected from the CBDR to estimate the next day's potential high and low. On sell days, the high typically forms 1–2 standard deviations above the CBDR. On buy days, the low forms 1–2 standard deviations below. Inner Circle Trader If the CBDR is too wide, the Asian Range (8:00 PM–12:00 AM) is used as the alternative reference. TradingView Tuesdays and Wednesdays tend to produce the best CBDR-based setups as weekly highs and lows typically form on these days. Forex Factory Inner Circle Trader

NWOG and NDOG (New Week/Day Opening Gaps)

The **NWOG** is the gap between Friday's close (4:59 PM EST) and Sunday's open (6:00 PM EST). Inner Circle Trader The **NDOG** is the gap between the daily close (5:00 PM EST) and the next day's open (6:00 PM EST), forming during the one-hour daily halt in futures trading. Inner Circle Trader Both gaps represent liquidity voids that price treats as FVGs, tending to revisit them for fair value. Writo-Finance The Consequent Encroachment (midpoint) of each gap is the most reactive level. Inner Circle Trader Inner Circle Trader Price often fills these gaps within the week or day, making them reliable reference points for support, resistance, and directional bias.

Quarterly Theory and seasonal tendencies

ICT Quarterly Theory holds that **time is fractal** — market cycles repeat at every scale following the pattern Accumulation (Q1), Manipulation (Q2), Distribution (Q3), Continuation/Reversal (Q4). Writo-Finance Applied yearly: Q1 is January–March, Q2 April–June, Q3 July–September, Q4 October–December, with the April open serving as the yearly True Open. Writo-Finance Weekly: Monday through Thursday divide into quarters, with Tuesday's open as the weekly True Open and Friday excluded. Writo-Finance Daily: four 6-hour quarters starting at 6:00 PM EST, with midnight as the daily True Open. TradingView This fractal structure extends down to **90-minute cycles** and even 22.5-minute micro sessions. TradingView True Opens at every scale serve as directional reference points — buy below them in bullish cycles, sell above them in bearish cycles. The Judas Swing corresponds to the manipulation (Q2) phase at any timescale. TradingView

---

Complete trading models and entry setups

Power of 3 (AMD cycle)

Power of 3 breaks each trading day into three institutional phases: Writo-Finance Medium

Accumulation (Asian session, ~7:00 PM–1:00 AM EST): Price consolidates near the opening price as smart money quietly builds positions. Low volatility, tight range. XS TradingView Retail traders place stops above and below the range. Writo-Finance

Manipulation (London session, ~1:00 AM–7:00 AM EST): A false breakout outside the accumulation range sweeps stop-losses. XS TradingView On a bullish day, the false move goes DOWN; on a bearish day, UP. This is the Judas Swing. Writo-Finance

Distribution (New York session, ~7:00 AM–1:00 PM EST): The real move. Smart money drives price in the intended direction with the largest candle body of the day. TradingView Strong directional momentum. XS

Every daily candle can be read through the PO3 lens: the open sits near the accumulation zone, one wick represents manipulation (forming the day's high or low), the body represents distribution, and the close sits near the distribution extreme. **Traders only trade the distribution phase** — the first two phases are setup and preparation. TradingFinder Inner Circle Trader

Judas Swing

The Judas Swing is the **manipulation phase made tradeable.** EBC Financial Group Between midnight and 5:00 AM EST, price makes a deceptive move opposite to the day's intended direction. TradingFinder On a bullish day, price drops below the opening price and Asian Range low, triggering retail sell orders and grabbing sell-side liquidity, before reversing sharply upward. Writo-Finance On a bearish day, the mirror occurs. Inner Circle Trader The Judas Swing is identified by establishing daily bias from higher-timeframe analysis, Forex Factory marking the Asian Range and midnight open, then waiting for the false move between midnight and 5:00 AM. After the liquidity grab and MSS in the real direction, traders enter on retracement to the FVG or order block created during the reversal. Inner Circle Trader

Optimal Trade Entry (OTE)

OTE is a Fibonacci-based entry method identifying the **62%–79% retracement zone** as the optimal area for entering trades during pullbacks. EBC Financial Group +4 The precise ideal level is **70.5%**. Inner Circle Trader TradingFinder After confirming a trend via market structure analysis, traders draw Fibonacci from the most recent swing low to swing high (bullish) or high to low (bearish), Writo-Finance plotting from candle body to body rather than wicks for accuracy. Writo-Finance ICT Trading When price retraces into the 62%–79% zone, traders look for confirmation ICT Trading — rejection candles, MSS on a lower timeframe, or FVG/order block confluence at the OTE level — before executing. Stop-loss sits 10–20 pips beyond the 100% level. Inner Circle Trader OTE is most effective during the **8:30–11:00 AM EST** window TradingFinder and becomes significantly more powerful when the OTE zone coincides with an order block, breaker block, or FVG.

Market Maker Buy Model (MMBM) and Market Maker Sell Model (MMSM)

These complete models describe how institutional market makers **engineer the full price cycle from consolidation through trend to target completion**:

Market Maker Buy Model (four stages): Original Consolidation (price ranges, liquidity builds on both sides) → Sell-Side of the Curve (price declines in a stair-step pattern, encouraging retail selling, creating SSL below swing lows) → Smart Money Reversal (price reaches a higher-timeframe bullish PD Array, MSS occurs, structure shifts from bearish to bullish) → Buy-Side of the Curve (price rises toward and beyond the Original Consolidation, completing when BSL above the consolidation is taken). Inner Circle Trader

Market Maker Sell Model mirrors this in reverse: Original Consolidation → Buy-Side of the Curve (price rises, creates BSL) → Smart Money Reversal (at bearish PD Array, MSS to downside) → Sell-Side of the Curve (price drops through and below the Original Consolidation). Inner Circle Trader

A key property is **symmetry** — the return trip should mirror the initial move in duration. Breaking symmetry signals the model may be failing. CliffsNotes Fibonacci extensions from the Smart Money Reversal point (-0.5, -1, -2, -4) provide profit targets.

ICT Unicorn Model

The Unicorn is the **highest-probability entry setup in ICT methodology**, formed when a Fair Value Gap overlaps with a Breaker Block. Writo-Finance For a bullish Unicorn: price forms a Low → High → Lower Low → Higher High. The Higher High breaks the previous high, creating a bullish Breaker Block. During the displacement that creates the Higher High, a bullish FVG forms that overlaps the Breaker Block. This overlap zone IS the Unicorn. Luxalgo Entry occurs when price retraces to the overlapping zone. Luxalgo Stop-loss sits 10–20 pips beyond the FVG candle's extreme, with a minimum **1:2 risk-reward ratio**. Inner Circle Trader The dual confluence of breaker block (failed institutional level) plus FVG (algorithmic imbalance) creates an exceptionally strong zone. TradingFinder

Turtle Soup

ICT's adaptation of Linda Bradford Raschke's classic strategy **exploits false breakouts at key swing highs and lows** XS — precisely the levels where original Turtle Trading methodology would have entered breakout trades. Inner Circle Trader Price spikes above a swing high (sweeping BSL) or below a swing low (sweeping SSL) to trigger stops and fill institutional orders, then reverses. FXOpen Two variants exist: **External Range Turtle Soup** (price goes outside the current range and reverses toward the opposite end) and **Internal Range Turtle Soup** (price pulls back to internal range liquidity within a trend, offering continuation). Fluxcharts The trading sequence is: identify overall bias on higher timeframes, mark BSL/SSL on 15M, wait for the false breakout on 5M or lower, confirm MSS in the opposite direction, enter on the FVG created by displacement, with stop-loss just beyond the liquidity sweep extreme. Inner Circle Trader

The 2022 Model

The 2022 Model is a **complete algorithmic intraday system** taught during ICT's 2022 YouTube Mentorship that integrates session timing, liquidity analysis, MSS, and FVG entries with a minimum 1:3 risk-reward. TradingFinder It begins with determining daily bias from weekly/daily charts, then trades in two sessions. Metals Mine For the London session (starting 3:00 AM EST), traders mark the price range from midnight to London open, wait for a sweep of either extreme, confirm MSS on lower timeframes, and enter on PD array re Forex Factory tracement. For the New York session (starting 8:00 AM EST), three scenarios play out depending on London's activity: if London swept liquidity, NY may retrace to OTE (70.5%) before continuing London's direction; if London was range-bound, NY provides the initial sweep and MSS; or NY directly continues London's direction.

ICT Standard Deviation projections for targets

After identifying a manipulation leg and MSS, ICT uses **Fibonacci-based standard**

deviation projections to estimate profit targets. Draw Fibonacci from the high to the low of the manipulation move (or reference range like CBDR), then extend to levels at -0.5, -1, -1.5, -2, -2.5, and -4. The **-2 to -2.5 level** serves as the primary profit target zone where retracement or reversal is likely. The -4 level is the maximum expansion target for "runners." When these projections align with higher-timeframe PD arrays (FVGs, order blocks, liquidity pools), the confluence significantly increases probability.

Newer and less common concepts

Suspension Block (introduced September 2025): A single candlestick with a volume imbalance at both the top and bottom, with its body completely overlapped by a wick on its left side (preventing FVG formation). The candle body plus both volume imbalances function as a PD array similar to an FVG.

Hidden Order Block: A PD array invisible on a single timeframe, derived from overlapping wicks visible only through multi-timeframe analysis. Requires looking at a higher timeframe to see where candle wicks overlap and form a concealed zone of institutional activity.

Opening Range Gap (ORG): The gap between regular trading hours (RTH) close and next RTH open. Standard deviation projections apply to the ORG for targets, similar to CBDR projections.

Return to Order Block: The concept that price revisits a previously identified order block for entry. The OB is considered "mitigated" after the first retest, reducing its reliability on subsequent visits.

Conclusion: how the concepts interconnect

ICT's methodology is not a collection of isolated tools but an **integrated system where every concept serves a specific function within the whole**. The IPDA and Smart Money Concepts provide the theoretical foundation — markets are algorithmically driven by institutional order flow. Market structure (BOS, CHoCH, MSS) provides directional context. PD Arrays and equilibrium establish WHERE price is favorable for entry. Kill Zones, Macros, and the Silver Bullet define WHEN institutional algorithms are most active. Order blocks, FVGs, breaker blocks, and their variants provide the specific price levels for entries. The Power of 3 and Judas Swing describe the daily manipulation cycle. Market Maker Models map the complete institutional lifecycle from consolidation to target completion.

The most powerful ICT setups emerge from **stacking multiple concepts** — a Unicorn entry (FVG + Breaker Block) taken during a Silver Bullet window, at the Smart Money Reversal point of a Market Maker Model, in the discount zone of a higher-timeframe PD Array, after a confirmed MSS with displacement. The methodology rewards patience and confluence over frequency, with the core insight being that retail traders' predictable behavior creates the very liquidity that institutions need — and by understanding this dynamic, traders can position themselves on the institutional side of the trade.